Suitability Report

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Recommendation Summary

Recommendations	Set up a new pension on the Aviva Platform to receive the Pension Sharing Order Transfer in your Nest and True Potential pensions into the new plan
Investments	Vanguard LifeStrategy 80% Equity – 50% HSBC Global Strategy Dynamic - 50%
Attitude to Risk	7 - Growth

My Recommendation

You have been provided with a copy of our **Client Agreement** and **Important Information about our Investment, Protection and Pension Services**. These are important documents that contain further information about the type of advice I can provide and set out the basis on which my company conducts business with you.

The basis of my advice

Following a recent review of your financial affairs we identified certain needs and objectives as detailed below. This report is designed to explain how and why my recommendations can help meet these needs and objectives - whilst at the same time highlighting any potential disadvantages and risks, as well as any other implications in terms of costs, charges and taxation.

My advice provided to you is based upon the information you have disclosed and therefore if this letter does not coincide with your view of the situation, or you require any further clarification, please contact me immediately. It is important to emphasise any information in relation to your circumstances that has not been disclosed could have affected my advice to you.

Your current situation

You are currently aged 55 and recently divorced, hence the Pension Sharing Order. You live with your partner Tony but maintain separate financial arrangements. You have two adult daughters who are in integral part of your estate planning, and you intend to appoint them as your Power of attorney.

You have recently altered your employment status, going from employed to self-employed with the same company. You expect annual earnings to be around £45,000 gross going forward. You will no longer be entitled to employee benefits such as pension contributions and your Nest plan will become paid up. I recommend that you consider commencing regular contributions to the new pension, which we can discuss in greater detail.

Your monthly expenditure totals £2,986 and Tony contributes £600 per month towards the household bills.

You have been awarded a share of your ex-husband's Quilter pension funds as part of your divorce settlement, and this has prompted you to seek expert financial advice to navigate the complexities of your retirement planning. You are also expecting to receive an inheritance of £350,000 from the sale of your late mothers property which is currently pending legal proceedings.

You are hoping to retire at age 60, although you may consider part time work beyond this point. You wish to achieve an annual income of £25,000 to £30,000 in retirement. Your preference is for a tax efficient, flexible income over guaranteed income.

You expect to receive the Full State Pension of £230.21 per week from age 67.

Assets & Liabilities

Assets	Value
Main Residence	£430,000
Cash	£17,000
TOTAL	**£447,000**
Liabilities	
Mortgage	£70,000
TOTAL	**£70,000**
NET Asset Value	**£377,000**

Inheritance Tax Summary

We each have a Nil Rate Band (NRB) of £325,000 and, if your property is passed to direct descendants, a Main Residence Nil Rate Band (RNRB) of £175,000. Any unused NRB can be transferred to a surviving spouse or civil partner, meaning up to £1 million can be passed on tax-free on second death.

Historically, pensions have not formed part of your estate for IHT purposes, making them a valuable estate planning tool. However, legislation has now been passed to change this.

From 6 April 2027, most unused defined contribution pensions and death benefits (such as drawdown funds and uncrystallised pots) will be included in your taxable estate for IHT. Exceptions include pensions paid to a surviving spouse or civil partner, dependents' scheme pensions, and death-in-service benefits. Executors will be responsible for declaring pension values as part of the IHT return and may use new options for settling any tax due directly from pension funds.

Currently, your assets are below your allowance of £500,000 meaning you have no Inheritance Tax liability. However, on receipt of the inheritance this will take you over the limit. We will continue to monitor your IHT position at our future reviews.

There are several strategies to help reduce your IHT liability, including:

- Trusts – Placing assets in trust to remove them from your taxable estate.
- Gifts & Lifetime Transfers – Making tax-efficient gifts to reduce the value of your estate.
- Whole of Life Plans – Using life insurance to cover any expected IHT bill.

Your Objectives

We reviewed your needs, objectives and time horizons and agreed the following:

- You have been awarded a share of your ex-husband's Quilter Pension and require a new pension plan to receive these funds.

- You also wish to carry out a review of your dormant True Potential and Nest Pensions.

- You want to ensure your pension funds are performing to the best of their ability to build the funds in preparation for retirement.

- You want to have the option to retire or at least reduce your hours at age 60, maintaining an income of between £25,000 and £30,000 per annum.

Attitude to Risk & Capacity for loss

Your attitude to risk

You completed a risk profiling questionnaire, and this was discussed and agreed. Your risk profile was agreed as 7 on a scale of 1 – 10.

As a Growth investor you do not see yourself as a cautious person and are inclined to view risk as a source of opportunity rather than as a threat. If you have experience of investments and find financial matters fairly easy to understand then you may be suited to a Growth approach to investing. You may also be suited to this approach if you make investment decisions relatively quickly and are not usually particularly anxious about those decisions. As a Growth investor you typically look for higher returns rather than safer investments and understand that you need to take some risk to meet your investment goals.

You consider yourself to have an adventurous investment approach and you review investment risk as opportunity. You understand that some risk needs to be take in order to achieve investment growth and you accept that values will fluctuate over time.

Capacity for loss

Whenever you invest you have to accept there is a risk to your capital. Any capacity for loss is based on what you are prepared to lose, or can afford to lose, which is based on your personal circumstances. Having agreed your attitude to investment risk, we discussed how this could impact on potential losses to your investment, and you confirmed this is within an acceptable tolerance based on your capacity to suffer any losses. We have also utilised Cashflow analysis to assess whether you will have sufficient funds for retirement.

Based on our conversations and analysis, I have determined that your capacity for loss is moderate, based on the current information we hold. Based on your circumstances alone, your pension funds along with the inheritance will be sufficient to cover expenditure in retirement, even following a fall in the market. Additionally you have the option to work beyond age 60 or to continue to work part time if necessary.

Knowledge & Experience

Your background in accounting and currency trading has equipped you with a solid understanding of financial matters. You confirmed that you have invested in pensions without taking any advice within the last 5 years and you regularly check the value of your funds. You feel you have a fair degree of knowledge and understanding in relation to pension planning.

Existing Arrangements

Provider/Scheme	Quilter
Type of Plan	Pension Sharing Order
Fund Value	c. £260,000
Contributions	Nil
Safeguarded Features incl. TFC/GARs/MIG	Does not contain any safeguarded benefits
Charges	If you were to retain the pension with Quilter the platform charges would be 0.27%.
Investment Funds	N/A
Risk Level	N/A
Penalties/Cost of exit/Switching	No charges for transfer and/or switching
Retirement Options	Flexi-access drawdown, full and partial UFPLS
Number of funds available	This is a platform that offers access to a wide range of funds and investment strategies
Allows Servicing Adviser	Yes

Provider/Scheme	True Potential
Type of Plan	Personal Pension
Fund Value	£46,672.80
Transfer Value	£46,672.80
Contributions	Nil
Safeguarded Features incl. TFC/GARs/MIG	Does not contain any safeguarded benefits
Charges	Platform Charges 0.40% Ongoing Advice charge 0.50% Weighted Average Fund Management Charges 0.58%
Investment Funds	True Potential Allianz Balanced - £5,617.54 True Potential Goldman Sachs Balanced - £2,787.29 True Potential Growth Aligned Aggressive - £10,764.88 True Potential Schroders Balanced - £2,378.80 True Potential SEI Aggressive - £7,254.00 True Potential Trinity Bridge Balanced - £7,771.29 True Potential UBS Aggressive - £10,099.00
Risk Level	6
Penalties/Cost of exit/Switching	No charges for transfer and/or switching
Retirement Options	Flexi-access drawdown, full and partial UFPLS
Number of funds available	35
Allows Servicing Adviser	Yes

Provider/Scheme	Nest
Type of Plan	Occupational Pension
Fund Value	£21,272.64
Transfer Value	£21,272.64
Contributions	Plan is now paid up
Safeguarded Features incl. TFC/GARs/MIG	Does not contain any safeguarded benefits
Charges	Plan Charges 0.30% Contribution charge 1.8%
Investment Funds	Nest Higher Risk Fund
Risk Level	8
Penalties/Cost of exit/ Switching	No charges for transfer and/or switching
Retirement Options	You can access full and partial UFPLS. Flexi-access drawdown is not available
Number of funds available	6
Allows Servicing Adviser	No

My Recommendation

Following your request, we have now completed a full assessment of the options available to you. My recommendation accounts for several important factors including your answers to our Attitude to Risk Questionnaire and an analysis of the available options.

When carrying out this review I conducted a full review of your existing pension scheme in relation to the charges, investment performance, accessible fund range, and retirement options available. This helps to understand the competitive nature of each pension scheme. Once this information was analysed, I then compared each pension scheme against the most suitable alternative option from the following:

- Option 1 - Leave the existing pension scheme untouched
- Option 2 - Leave the existing pension scheme in place and switch investment funds
- Option 3 - Switch the existing pension scheme into another existing pension arrangement
- Option 4 - Switch your existing schemes into your employer’s pension arrangement
- Option 5 - Set up a new pension plan to move your existing pension schemes into

EXISTING SCHEME	ADVICE
Quilter Pension Sharing Order	Switch to the Aviva Platform

I recommend placing these funds into a new plan on the Aviva platform for the following reasons:

- The receiving scheme has a lower overall cost structure compared to the Quilter plan. We have negotiated a reduced platform charges of 0.19%, compared to the Quilter charges of 0.27%, representing a savings of £208 per annum, based on the estimated fund value.
- Had we recommended you retained the pension funds within Quilter, the initial advice charges would have been incurred regardless of the chosen provider. You mentioned during our meeting that you had no ties or preference to leave the funds with Quilter.
- By moving to the recommended scheme, I will have the ability to actively monitor and adjust your investments as required, helping to ensure they remain aligned with your changing needs and market conditions.

EXISTING SCHEME	ADVICE
Nest	Switch to the Aviva Platform

Following a detailed review of your current pension arrangement, I recommend switching to a new scheme that better aligns with your financial objectives and long-term retirement planning. This switch is in your best interests for the following reasons:

- The current fund is not in line with the agreed risk level and the plan offers only 6 funds. Whilst we could look at the Lower risk fund within this plan, the new scheme offers access to a wider range of investment options, allowing for a more tailored investment strategy that better suits your risk profile and retirement goals, and allowing greater choice should your risk profile change in the future.
- Although the annual charges for the recommend plan are higher at 0.39% compared to 0.30%, this represents a relatively small increase of £19.15 per annum, based on the current values.
- The existing scheme is a very simple auto-enrolment pension scheme, designed to provide a cheap pension for employers to meet pension legislation. It has few funds available and has to be managed by the member directly. You wish to take a more sophisticated approach and ensure that the pension is managed for you, which is why you have decided to take financial advice.
- The recommendation provides a useful online Platform where you can keep up to date on your fund performance. You will have quick and easy online access to your pension and to be able to access client reports, understand charges and the impact charges have on performance.
- The receiving scheme provides more flexible retirement options, ensuring you can access your pension savings in a way that best suits your needs, including tax-efficient withdrawal strategies.
- By moving to the recommended scheme, I will have the ability to actively monitor and adjust your investments as required, helping to ensure they remain aligned with your changing needs and market conditions.

EXISTING SCHEME	ADVICE
True Potential	Switch to Aviva Platform

Following a detailed review of your current pension arrangement, I recommend switching to a new scheme that better aligns with your financial objectives and long-term retirement planning. This switch is in your best interests for the following reasons:

- The receiving scheme has a lower overall cost structure compared to your existing pension, meaning more of your savings remain invested for growth rather than being lost to charges. The platform charges with Aviva are 0.21% compared to the True Potential platform charges of 0.40%, this represents a saving of 0.19% or £88.68 based on the current value of the fund.
- The ongoing fund charges are higher in the existing contract at 0.58% compared with 0.20% within the new plan, representing an annual saving of £177.35 based on the current value of the pension (excluding advice charges).
- The current portfolio is not in line with the agreed risk level. Whilst we could look at alternative funds within this plan, the new scheme offers access to a wider range of investment options, allowing for a more tailored investment strategy that better suits your risk profile and retirement goals, and allowing greater choice should your risk profile change in the future.
- Ongoing Monitoring and Adjustments – By moving to the recommended scheme, I will have the ability to actively monitor and adjust your investments as required, helping to ensure they remain aligned with your changing needs and market conditions.

By switching to this scheme, you will benefit from overall lower costs, greater investment flexibility, improved retirement options, and continued professional oversight, ensuring your pension remains on track to support your long-term financial goals.

Other Considerations of Switching

You should note that whilst the transactions are pending, there could be movements within the stock-market; that is to say that the stock-market could rise or fall in value. If the market rises in value between the date of realising your existing funds and the purchase of your new (funds), you could be financially disadvantaged insofar as the cost of buying your new fund could be greater. Conversely, if there is a fall in the market between the date of realising your existing funds and the purchase of your new funds, you could be financially advantaged insofar as the cost of buying your new funds could be lower.

Should you require access to these funds in the future it will usually take 10-15 working days for administration, disinvestment and banking processes to complete. You are comfortable with the concept as you have liquid cash should you require instance access funds.

There is no guarantee the return on the new investment will be greater than that of your existing arrangement for these funds.

All other risks associated with this investment are detailed in the product literature provided to you. You should read this document carefully.

Recommended Solution

New Plan	Total Transfer Value	Regular Contributions
Aviva Pension Portfolio	£67,945.44 (transfer) £260,000 (Pension Sharing Order)	Nil

I have recommended a Personal Pension for the following reasons:

- It is the most suitable solution given your circumstances and retirement objectives.
- It provides an extremely tax-efficient way of building up a retirement fund.
- You can make variable regular contributions or make one-off payments as required. Personal contributions to the pension benefit from valuable tax relief; for example, a net contribution of £80 effectively becomes £100 gross in your pension.
- Regular reviews will ensure that your pension continues to reflect your risk tolerance and performance expectations, although performance cannot be guaranteed. Underlying funds can be adjusted to suit changes in your personal circumstances.
- You can draw benefits from your pension fund in a number of different ways from age 55 (rising to 57 from 6 April 2028). However, you should always take advice beforehand to ensure you are taking benefits in the most tax efficient way possible.
- You understand the pension freedoms and prefer the flexibility of entering Flexi Access Drawdown when you access your pension, allowing you control over how and when benefits are taken. The pension provider will be selected to ensure seamless conversion to Flexi Access Drawdown when you decide to draw benefits.
- Should you die before age 75, the nominated beneficiaries can receive a lump sum, drawdown an income or purchase a dependents annuity. All these options are paid free of tax. Where you die after the age of 75, the same options are available, but tax is paid at the beneficiary's marginal rate of tax.
- Pensions are currently outside of your estate for IHT purposes, however from 6 April 2027, most unused defined contribution pensions and death benefits (such as drawdown funds and uncrystallised pots) will be included in your taxable estate for IHT. Exceptions include pensions paid to a surviving spouse or civil partner, dependents' scheme pensions, and death-in-service benefits.

Why this provider has been recommended

A platform is a service that allows you to hold one or a number of different investment vehicles under one roof. It also has access to a significant number of investment funds from different fund managers to allow the creation of a diversified portfolio with the ability to switch funds at any time. It also provides the facility to obtain up-to-date valuations on all your investments whenever required.

The Aviva Platform, part of FTSE 100–listed Aviva plc, provides a secure and flexible way to manage investments under one roof, with access to ISAs, pensions, and general investment accounts.

Key Benefits:

- Financial strength – Aviva is rated A (Stable) by S&P, with £407bn AUM (31 Dec 2024).
- Choice – Over 6,900 funds and leading managers, across ISAs, pensions, and GIAs.
- Flexibility – ISA allows withdrawals and replacements in the same tax year.
- Expertise – Aviva Investors manages award-winning strategies across asset classes, plus access to private markets (equity, infrastructure, real estate).
- Value – Transparent, competitive charges with potential tiered pricing.
- Convenience – Online tools for viewing performance, switching funds, and accessing documents.
- Governance – Strong regulatory oversight and risk management.
- Innovation – Ongoing digital investment and enhanced cash management tools.

Summary of Plan Charges

Annual recurring charges

Plan	Platform	Investment Management	Total Charge
Aviva Platform Personal Pension	0.19%	0.20%	0.39%
	£623.10	£655.89	£1,278.99

Your personal illustration contains further information regarding the cumulative effect the charges will have on your investment returns. The charge in monetary terms shown here may differ from the illustration due to differences in calculation methods.

The charge in monetary terms is an estimate based on the amount being invested into the plan. The annual recurring charges assume no investment growth. In reality, the underlying investments will fluctuate daily, and this makes it impossible to accurately predict the actual monetary charges that will be incurred in the future.

The charges quoted in this report exclude the transaction costs of the underlying funds, as these are variable and subject to change based on factors such as market conditions and trading activity. Transaction costs are not fees paid to the asset manager; instead, they include expenses like broker commissions, taxes, and the cost of executing trades. Despite their variability, these costs are already accounted for in the fund's performance figures, which are presented net of all charges. This provides a clear and accurate reflection of the investment's returns after all costs have been considered.

Pension Switch Charges Only Assessment

The table below shows the difference in the total recurring annual charges of the existing plan and the alternative plan that has been recommended to replace it in both percentage and monetary terms. The difference in monetary terms is based on the current fund value of the existing plan, as highlighted in the earlier review section.

Plan	Current Annual Recurring Charge of Existing Plan		Impact of Recommended Alternative	
True Potential	0.98%	£457.39	-0.59%	-£275.37
Nest	0.30%	£63.82	+0.09%	+£19.15

Like for Like

Based on information supplied by True Potential, excluding the current ongoing advice charges, our calculations show that the Aviva plan is 0.59% less expensive than your current True Potential plan. This means that your proposed plan can underperform your current plan by £275.37 per annum.

Based on information supplied by your existing provider, Nest our calculations show that the Aviva plan is 0.09% more expensive than your current Nest plan. This means that your proposed plan will need to outperform your current plan by £19.15 per annum.

Including Adviser Fee (Current and proposed)

I have also assessed the impact of advice charges upon transferring and over time. This is called the Critical Yield and can be found in the Appendix of this report.

As we have agreed to be remunerated via the policy (initial and ongoing), our calculations showed that the Aviva plan is more expensive than your current True Potential plan. Based on an annual growth rate of 2.94%, this means that your proposed plan can underperform your current plan by 0.01% per annum to age 89 in order to meet the same value as your current plan.

Our calculations showed that the Aviva plan is more expensive than your current Nest plan. Based on an annual growth rate of 2.94%, this means that your proposed plan will need to outperform your current plan by 1.23% per annum to age 89 in order to meet the same value as your current plan.

Fund recommendation

In addition to your attitude to investment risk and capacity for loss, I have also considered your investment objectives as well as your knowledge and experience, and the length of time you wish to invest for. Having taken account of all these factors, I have recommended the following investment strategy.

Investment Fund	Allocation	Risk Rating	Annual Charge
HSBC Global Strategy Dynamic Portfolio C Acc	50%	7	0.19%
Vanguard LifeStrategy 80% Equity	50%	7	0.20%
Total	**100%**		**0.20%**

Please refer to the enclosed illustration for a full breakdown of the recommended portfolio.

Details of these funds are contained in the product literature.

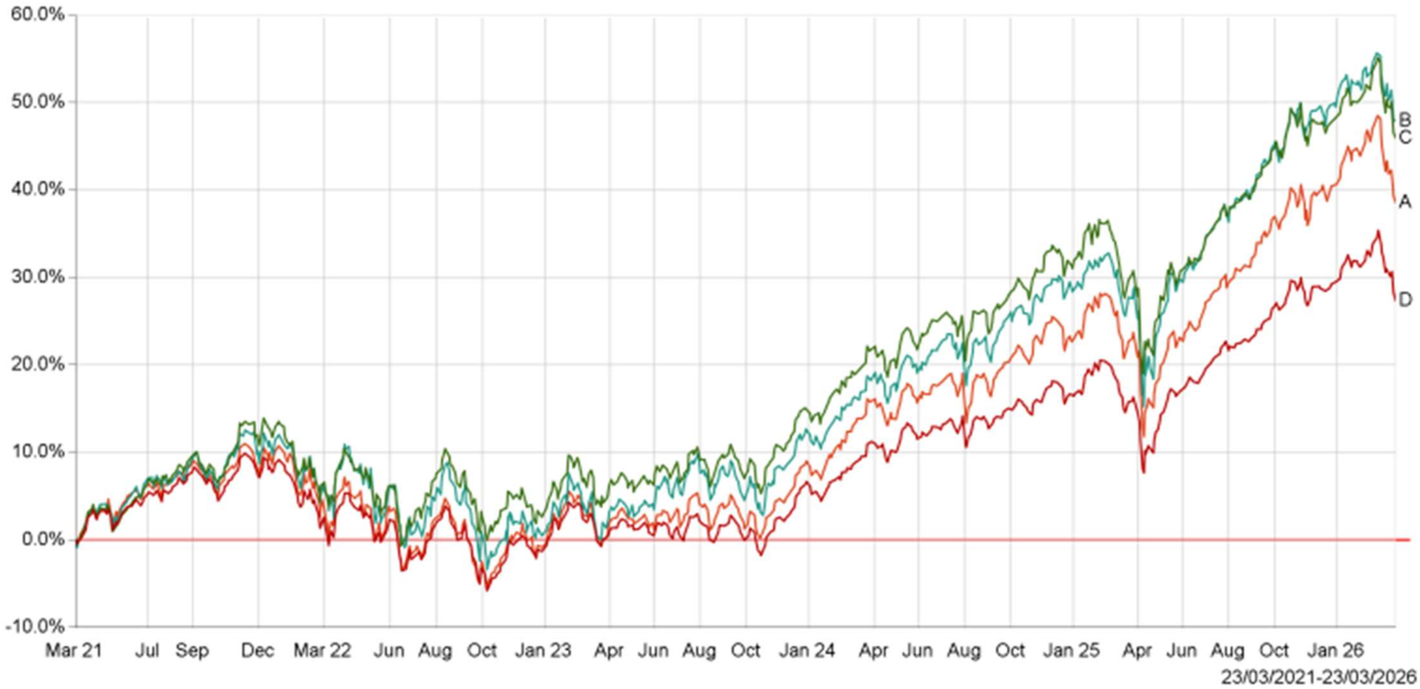
- The funds reflect your risk profile both individually and combined. This means that should there be any portfolio drift, the risk being taken remains the same.
- It provides exposure to a range of asset classes and market sectors resulting in greater diversification and reduced risk.
- It provides a blend of active and passive investments, which allows for some active management, whilst keeping costs low.
- You want to keep the investment strategy of your pension fairly simple.
- The charges are competitive.
- The funds have performed well in comparison with their peers.
- The funds are part of our CIP (Centralised Investment Proposition). This is regularly reviewed by a quarterly investment committee. We also utilise a leading external research team to ensure regular monitoring and oversight of our recommended funds.
- We have recommended a multi-asset fund because it provides a professionally managed, diversified investment solution that aligns with your financial goals and risk profile. These funds are risk-profiled solutions, meaning they are specifically designed to remain within your agreed level of risk, ensuring your investments stay aligned with your preferences. These funds combine the growth potential of equities with the potentially uncorrelated returns of other asset classes, such as bonds, property and absolute return. By investing across a range of asset classes, the fund reduces the risk associated with market volatility while offering the potential for steady growth or income, depending on your needs. Managed by experts who regularly adjust the portfolio to maintain suitability, this option offers simplicity, cost-efficiency, and flexibility as your circumstances evolve, making it a balanced and reliable choice for achieving your long-term financial plans.

You should remember that unit prices and the value of your pension fund can fall as well as rise and there is no guarantee you will receive a return of your original capital, especially in the early years or if you choose to take an income from it. Past performance is no guarantee of future returns.

A switch between pension providers does not guarantee a greater pension fund at retirement and there is no guarantee that the new provider's funds will outperform those of your existing provider.

Performance Assessment

The below chart and table show a performance analysis of your existing plans (A - True Potential & B - Nest) against the recommended funds (C) over the past five years. I have also included the benchmark for your risk profile (D).

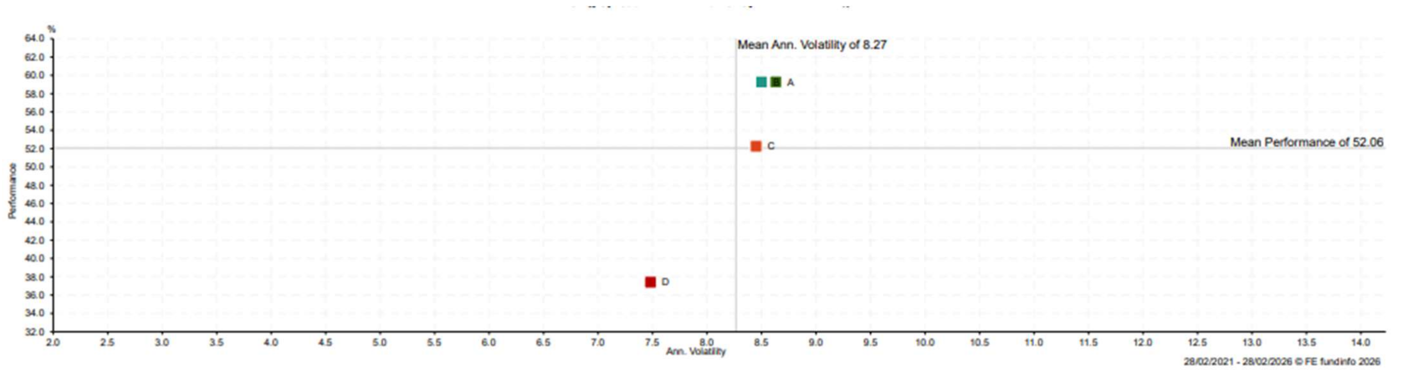


Cumulative Performance (%) — Cumulative Performance as at 23/03/2026*

	Instrument	Currency	3m	6m	1y	3yrs	5yrs	23/03/2021 to 23/03/2026
A	Anness, M True Potential Pension TR in GB	GBP	-1.12	2.43	12.93	38.01	38.53	38.53
B	NEST - Higher Risk Pn GTR in GB	GBX	-1.16	3.17	16.13	46.53	48.06	47.84
C	Risk 7 HSBC GI Dyn/Vanguard LS 80 TR in GB	GBP	-1.19	2.24	12.46	39.93	45.91	45.91
D	UT Mixed Investment 40-85% Shares Retail TR in GB	GBP	-1.47	1.81	9.83	27.71	27.43	27.31

*excluding chart selection

The below chart and table show a volatility analysis of your existing plans (B – Nest & C - True Potential) against the recommended funds (A) over a five-year period. I have also included the benchmark for your risk profile (D).



Key	Name	Performance	Volatility
A	Risk 7 HSBC GI Dyn/Vanguard LS 80 TR in GB	59.29	8.63
B	NEST - Higher Risk Pn GTR in GB	59.28	8.50
C	Anness, M True Potential Pension TR in GB	52.25	8.45
D	UT Mixed Investment 40-85% Shares Retail TR in GB	37.41	7.48

(Source: FE Analytics)

This shows that the recommended funds have outperformed your existing True Potential funds and underperformed against the Nest fund. This is to be expected given the level of risk for each plan, with the Nest funds with a higher equity content achieving greater growth.

The recommended funds, being more balanced and in line with your risk tolerance, has understandably lagged behind the higher-risk funds but has demonstrated strong risk-adjusted performance within its category.

This also shows that all the funds have had a similar volatility over the last five years.

Past performance is not a guarantee of future returns.

Cashflow Analysis

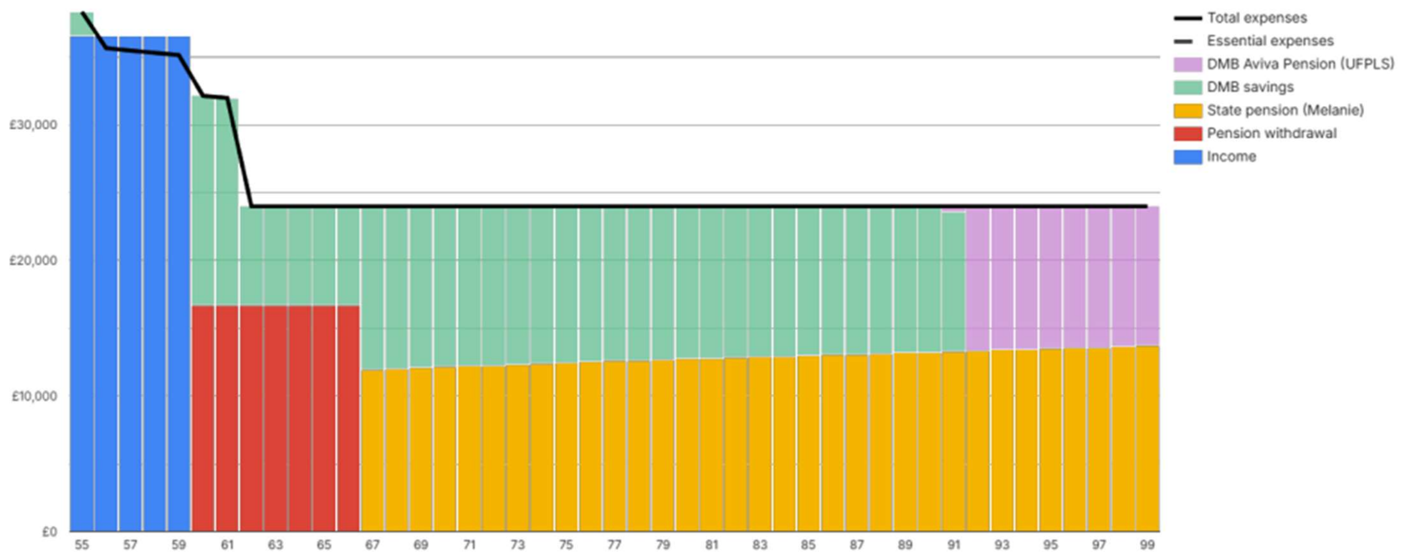
I have used a cashflow modeller to create a graphical representation of your assets, investments, debts, income and expenditure. I have projected these forward, year-on-year, to assess the likelihood of you being able to achieve your objectives. A summary of the key scenarios I have modelled to help develop my recommendations are included below.

We have input the following information into the cashflow modeller to generate the charts below:

- You earn £45,000 per annum until age 60 at which point you retire.
- Your expenditure is £2,237 per month until retirement.
- You spend £2,500 on a new sofa immediately.
- You pay £750 per month on your mortgage for the next 7 years.
- You receive an inheritance of £350,000 next year.
- In retirement, your personal expenditure is £2,000 net each month.
- The forecast incorporates cash holdings that you have. These have been modelled with the projected growth rates included in the appendix of this report.
- You consolidate your pensions onto the Aviva platform, and the funds achieve investment growth of 6.00% per annum before charges.
- You receive the full state pension from age 67.
- The cashflow runs until you reach age 100 and assumes all surplus income throughout your lifetime is spent, rather than saved.

Any input information is based on the assumptions detailed at the end of this report.

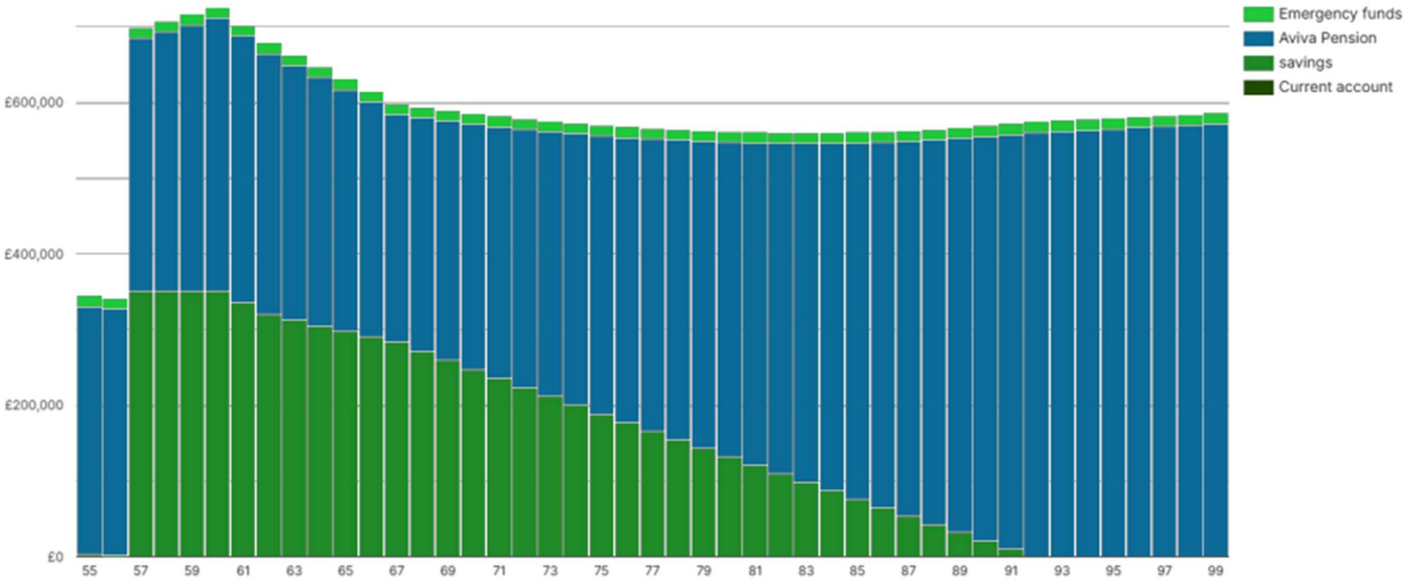
<u>Income and expenditure</u>



The chart above displays a bar for each year of your life, up to age 100, showing your household income. Each income source is represented by a different colour. Your expenditure is shown by the solid black line running across the bars.

Where income is insufficient to cover your expenditure, the modeller assumes that you will draw from your liquid assets. Pension withdrawals are represented by the orange shading in the chart to utilise your personal allowance, with the green shading showing your savings being used to make up the shortfall. Once your savings are depleted, the purple shading shows pension funds being accessed again.

Current Total Assets



The chart shows the value of your assets, with the blue being pension funds and green is the inheritance which we assumed you receive in two years' time. As you can see your assets are sufficient to make up your income shortfall throughout your lifetime.

Alternative Scenarios & Stress Tests

- With the recent cost of living crisis and inflation rates increasing above the government's target rate for inflation (2%), I also conducted a stress test based on a high inflation rate of 6%. The cashflow shows that should this high level of inflation continue at the assumed rate, your assets could be depleted at age 81.
- I have completed a stress test based on a market crash occurring at the time you needed access to your funds. This showed that if your plan sustained a loss similar to the crash of 2007/8 your assets would still last your lifetime. The Office of National Statistics Life Expectancy for a 55-year-old female is age 87. Therefore, based on these statistics, your funds would be expected to last throughout your lifetime.

It is important to understand that the above charts are projections based on certain assumptions, and even a small variance between the assumptions used and actual experience can result in a marked difference in the outcome when compounded over a long period of time. Please also note that the chart does not consider any potential long-term care costs which could occur in later life.

Alternative Solutions

Stakeholder pensions have been designed to offer low charges (i.e. a maximum total charge of 1.5% per annum for the first 10 years then 1% thereafter). These have a low minimum contribution level and do not penalise policyholders if they need to stop payment contributions or move their funds to another provider.

In your case however, I am recommending a plan which is not a stakeholder pension plan as this is more suitable for your circumstances because the solution is more cost effective than a typical stakeholder pension. Stakeholder pensions also typically do not allow for flexible access and have limited fund ranges.

Nominations and death benefits

I recommend that you complete the nomination of beneficiaries' form that will be provided to you after the transfer process is begun.

This will allow you nominate who you wish to benefit from your funds on passing. It will also allow you to designate an amount of your funds to several people.

All payments will be subject to Aviva's discretion. Where your nominees withdraw from the proceeds it will be tax free should you die before age 75. Where your death occurs on or after age 75 those payments will be subject to the nominee's marginal rate of tax.

Cancellation notice

You have a legal right to change your mind and cancel your plan. Once your plan is set up you will be sent a cancellation notice. You have 30 days to review and consider your options. You should check the provider literature to confirm the date this period commences as well as any charges that may apply following cancellation. If your investment falls in value before your cancellation notice is received, an amount equal to the fall in value will be deducted.

However, please be aware the cancellation notice includes a provision that any previous provider is not obliged to take the plan back.

Tax Treatment and Law

All statements concerning the tax treatment of products and their benefits are based on our understanding of current tax law and HMRC practice. Levels and basis of tax relief are subject to change.

Product literature

This documentation is important and contains information regarding the products which I have recommended, particularly with regards to how the product works, its aims, risks and charges, together with its legal status, tax treatment and your cancellation rights. Therefore, please ensure you have read these documents carefully. If there are any points on which you are unsure, or require further clarification, please contact me and I will be pleased to explain these in greater detail.

Our charges

For researching, recommending and arranging these investments, we charge an initial advice fee of 3% of the amount invested as per the terms stated in our Client Agreement. In monetary terms this is 9,838.36 with current transfer values, this figure may fluctuate depending on transfer values. This will be paid directly by the pension scheme on transfer.

Future contact and ongoing services

We believe it is important to review your investment strategy at regular intervals to ensure it continues to meet your aims and objectives. Our Client Agreement sets out the service my company will provide to you and its likely cost. The benefits of our ongoing service include;

- Reviewing your attitude to risk and capacity for loss to ensure your investment portfolio remains suitable for you.
- Reviewing the ongoing suitability of your investment portfolio.
- Market updates and updates with any changes in financial legislation.
- Access to a professional, experienced and qualified team of financial advisers at any time to provide ad-hoc advice as required.
- Access to full holistic financial planning to suit your needs.

The costs for this service are 1% per annum. Based on current values & expected contributions, minus the initial fee, this would be equal to circa £3,181.08 for the first year. This will vary in line with your fund value. This fee will be paid via the Aviva Platform pension scheme as you prefer to pay via your provider rather than directly.

Wills

You have confirmed you have a valid Will in place, however you have acknowledged that it needs to be updated.

Power of attorney

It would also be prudent to set up and register Power of Attorney for your financial affairs / health and welfare, to ensure that in the event of your incapacity, your spouse or relative could act on your behalf.

Conclusion

I trust that this letter provides an accurate summary of our discussions, however, should you have any concerns or wish to discuss any of the issues raised in more detail please do not hesitate to contact me.

We strive to provide you with a first-class professional service and hope that we can continue to be of service to you for many years to come. Should you require advice at any time with regard to any aspect of your financial planning, please do not hesitate to contact me and I shall be pleased to assist.

Yours sincerely,

James Poka MFinPlan DipPFS
Head of Advice – Independent Financial Adviser
TFAS Wealth Limited

Appendix

Critical Yield

Initial adviser charge of 3% which is taken from the new solution, reducing the initial investment accordingly.

An ongoing annual adviser charge of 1.00% which has been considered as part of the new solution projections below.

Existing advice charges applicable to the True Potential plan are also included.

The following comparison considers the effect of any adviser charges currently being paid on the existing pensions being switched out of and the adviser charges that would become payable on the new solution.

Values shown are in real terms which mean that they have been adjusted to take into account the effect of inflation.

	Assumed Growth Rates (Average)		
	0%	**2.94%**	**5.88%**
Existing Schemes*	**£48,408**	**£121,807**	**£298,632**
Aviva Pension Portfolio (Choice)	**£42,300**	**£106,000**	**£261,000**
Rate of Return Required from Aviva	0.41% (+0.41%)	3.37% (+0.43%)	6.32% (+0.44%)
The effect this will have on the fund if moved to Aviva	-12.42%	-12.42%	-12.42%
Reduction in Yield if moved to Aviva	1.5%	1.5%	1.6%

[1] Reduction in Yield is the impact of product, platform and fund charges on the investment growth rate. For example, if the fund grows due to investment growth by 4% in a year and the reduction in yield is 2.5% the fund growth experienced will be 1.5%.
[2] Rate of return required (Critical Yield) is the growth rate required from the new solution to match the projected maturity value of the pension solution.
[3] Effect of switching is the change in the maturity value of the new solution assuming the fund experiences the same investment growth.

Cashflow Assumptions

Surplus Income Percentage Saved

0% of any in-year surplus will be saved within the plan – all surplus income is spent.

Inflation Assumptions

The following inflation assumptions are the rates used as standard within the cashflow modeller:

General expenditure 2 %
Savings 2 %
State pensions 2.5 %
Property 4.7 %
Lending 4 %
Aviva personal pensions 6 %

Personal Pension Plan

A personal pension plan (PPP) is a type of money purchase pension that provides a tax-efficient way for individuals to save for their retirement. PPPs suit a wide range of individuals but are primarily aimed at those who do not have access to a workplace pension.

PPPs are not subject to restrictions on charges and therefore tend to offer a wider range of investment opportunities and options than stakeholder pensions. This flexibility provides greater scope to tailor the pension plan to the individual's needs and circumstances.

Flexi-access Drawdown (FAD)

Flexi-access drawdown provides a flexible and tax-efficient means of drawing benefits from a pension fund. An individual can take up to 25% of the pension fund being crystallised as a tax-free lump sum at outset (subject to the Lump Sum Allowance of £268,275 for people with no form of lifetime allowance protection). The remainder of the fund remains invested within a tax advantaged environment from which the individual can take regular or ad-hoc income withdrawals to suit their needs and circumstances. There is no upper limit to the amount the individual can withdraw as an income. However, each withdrawal is taxed at their marginal rate of Income Tax.

Flexi-access drawdown also provides a tax-efficient way of passing wealth down through the generations as any unused pension fund can usually be passed down to a wide range of beneficiaries free from Inheritance Tax.

Lifetime Allowance

The lifetime allowance 'charge' was removed from 6 April 2023 - the legislation for this was included in the Finance (No.2) Act 2023.

From 6 April 2024, the lifetime allowance has been removed. This doesn't mean there are no limits on the amount of pension savings people can take without a tax charge; the lifetime allowance is being replaced by new allowances.

The lifetime allowance is being replaced with three different allowances:

the lump sum allowance - £268,275
the lump sum and death benefit allowance - £1,073,100

Both of these allowances limit the amount of tax-free benefits that can be paid.

There is also:

the overseas transfer allowance - £1,073,100

A check is made against these allowances when benefits are paid. These allowances may be higher if the individual has lifetime allowance protection. These allowances are reduced if benefits were taken between 6 April 2006 and 5 April 2024. There is no longer any additional test against the investment returns at age 75, as previously.

Annual Allowance

Contributions into the scheme are limited by the annual allowance. The Annual Allowance is currently a maximum of £60,000 per annum 2025/26. High earners may have a lower annual allowance. There is also the facility to potentially carry forward up to 3 years' worth of unused allowances. You should note that if an individual has flexibly accessed other pension benefits though, their Money Purchase Annual Allowance may be restricted to £10,000 with no Carry Forward allowed. Contributions exceeding the annual allowance would trigger a tailored tax charge of up to 45%. Tax relief on any personal contributions made is limited to £3,600 per annum or 100% of salary if higher.

You have not yet triggered the MPAA, and you do not have a lower annual allowance.

Key Benefits of the CIP Approach

1. Diversification and Risk Management

- The CIP includes a carefully curated selection of funds across different asset classes, regions, and sectors.
- This diversification reduces reliance on a single fund manager or strategy, spreading risk more effectively than a single multi-asset fund.

2. Active Oversight and Governance

- Our CIP is actively monitored and reviewed by an experienced investment committee.
- This ensures that the portfolio remains aligned with market conditions and your risk profile, providing greater adaptability compared to a static multi-asset fund.

3. Cost Efficiency

- The CIP is structured to balance performance and cost, optimising value for your investment.
- While individual multi-asset funds may offer simplicity, the CIP's layered approach can enhance performance without excessive costs.

The CIP aligns with your long-term goals and offers a more robust and flexible framework compared to a single multi-asset fund. It provides enhanced oversight, risk management, and adaptability, ensuring that your investment remains effective as market conditions and personal circumstances evolve.

Investment pathways

Investment pathways were introduced in February 2021 by government legislation. The legislation is designed to ensure that individuals who take benefits from their pension fund via drawdown without taking advice still have access to appropriate investments for their needs and objectives.

There are four investment pathways to cater for four retirement scenarios. The four pathways are:

- Option 1 - I have no plans to touch my money in the next 5 years.
- Option 2 - I plan to use my money to set up a guaranteed income (annuity) within the next 5 years.
- Option 3 - I plan to start taking my money as a long-term income within the next 5 years.
- Option 4 - I plan to take out all my money within the next 5 years.

The provider will offer a single investment solution designed to meet each option. Although investment pathways are aimed at individuals that do not have an adviser, they may still be a valid consideration for you because they may have:

- Potentially lower costs;
- Reduced complexity; and
- Less requirement for ongoing advice.

<u>Why are investment pathways not appropriate for you?</u>

I have considered the investment pathway solution offered by the recommended provider that is most relevant to you. However, I have discounted it because:

- You require a more tailored solution than any of the four generic solutions offered by the provider.
- It does not reflect your individual circumstances, withdrawal requirements and risk profile as accurately as the recommended investment strategy.
- You require an investment solution that will be regularly reviewed and adjusted to reflect any changes in your needs and circumstances as part of our ongoing advice service.
- It has not performed as well as the recommended investment strategy.